

SmartMoney

Choose how you want to file



Submit the return in paper form



Submit the return electronically under digital signature



If you don't have a digital signature, file data online and submit verification in Form ITR-V



Submit a bar-coded paper return

These forms do not have to be filed in duplicate. Returns filed on paper have to be submitted with an acknowledgment slip, which is stamped and returned to the taxpayer. However, if you file electronically without a digital signature you have to submit two copies of Form ITR-V.

Also, being lengthy doesn't always mean being complicated. Saral pushed everything under one umbrella. Which also meant that your tax return form had confusing sections on capital gains and income from house property even though you never dabbled in shares or mutual funds and were not lucky enough to own a house, leave alone rent it out. Since they are specific to the kind of taxable income, the new forms do not have such anomalies.

Saral's major shortcoming was that it clubbed a lot of the entries

without fully explaining how to go about filling them. For instance, the capital gains section in the form did not have a separate entry on setting off capital losses or carrying them forward. Such a simplistic approach is completely out of sync with reality in these times of increased investment in stocks or other assets that result in capital gains or losses. The new forms have a detailed section on capital gains and losses which simplifies matters for taxpayers.

If taxpayers still feel intimidated by the elaborate entries, there is help at hand. The Income Tax Department has authorised some 3,700 Tax Return Preparers (see box) to fill up income tax return forms for individuals and file them. "Our tax laws may need to be simplified but our tax return forms are among the simplest in the world," Chidambaram told the first batch of Tax Return Preparers (TRPs) at their convocation last month.

You may not even need a TRP's help because the new tax forms are really "do-it-yourself" guides. The reader-friendly instructions that come with them explain how every entry in the tax form has to be filled up, unravel the alphabet soup of different sections and even tell you how to calculate your tax liability. Saral too came with instructions but the emphasis on keeping them short meant they were neither clear nor comprehensive.

ITR 3

WHO IS IT FOR

Partners in a partnership firm

WHAT'S NEW IN IT

- All the information required in ITR 1 and ITR2
- Details of the taxpayers' share in the partnership firm and other information about firm (such as its PAN and financial details)

ITR 4

WHO IS IT FOR

Proprietors of business and consultants

WHAT'S NEW IN IT

- All the information required in ITR 1 and 2
- Details of income if it is liable to tax audit (Rs 10 lakh profit/income or Rs 40 lakh turnover)
- Details of balance sheet—profit and loss, creditors, debtors, cash balance